CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: **SHORT-TERM INVESTMENT (Treasury Surplus)**					
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OBJECTIVE

These guidelines are intended to establish the investment process of Treasury surplus with the purposes of preserving the purchasing power and generate additional revenue to help solve the daily needs of the company.

SCOPE

The Finance Director and Cash Management team will execute the optimal strategy for the adequate management and investment of cash resources, in collaboration with secure financial institutions, under the lowest possible market risk, prioritizing the daily sufficiency or liquidity.

DEFINITIONS

For the purposes of this policy:

Treasury surpluses: refer to the amount of money left after paying administrative, operational and capital expenses.

Investment: the temporary placement of economic resources in any type of financial or banking instrument with the objective of maximizing the value of money through a yield or interest.

Liquidity: as the ability to transform investment into money at the desired time, without incurring significant costs or experiencing a loss of capital.

Overnight: it is an Anglo-Saxon expression that corresponds to the financial operations carried out one day with due date the following business day.

Profitability: is the ability of the investment to generate a surplus or economic benefit. Profitability will always be subject to security and liquidity.

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DATE: 01/06/18	DATE: 01/06/18	DATE: 01/06/18

Market Risk: defined as the probability of variations in the price and position of an asset of a company, due to factors that affect the overall performance of the financial markets in which is involved. Market risk and specific risk make up the two major categories of investment risk. The most common types of market risks include interest rate risk, equity risk, currency risk and commodity risk.

Security: understood as the possibility of fully recovering the investment at maturity or within the period foreseen for the investment.

RESPONSIBILITIES

The Cash Management team will be responsible for proposing and managing Treasury investments.

The Finance Director will be responsible for approving the investment operations, which comply with the requirements and limitations established in this policy.

Before any possible change in the banking or financial entities with which the company currently works, as long as it implies an improvement in conditions or returns, it will be the responsibility of the Cash Management department to present a comparative analysis to the Finance Director for its evaluation and approval.

PROCESS

1. The Cash Management Analyst or Manager will send the Investment proposal to the Finance Director no later than 12:30 a.m. This proposal will contain:
    a. The current Balance or available in our bank accounts.
    b. The amounts to invest for each banking or financial entity to choose.
    c. The term. Overnight (1 day) or the number of days to consider, according to the needs of the department and the company.
    d. A summary of payments pending for the same day and for the next one.

2. The Finance Director will give his approval no later than 1:00 p.m. The banking or financial entities that provide these services have time limits to receive investment notifications.
3. The Cash Management team will confirm the investment with the banking or financial institutions.
4. The Cash Management team will validate the charge applied and follow up the capital return (plus interests) according to the agreed period.
5. The Cash Management team will report at the end of the month, the income generated by the return on investments done during the current month.

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